

FRVO

FRVO N/A

Buy	\$30.53 ▲ 5.02%	12M Price Target \$42.00	52-Week Range \$27.80 – \$42.65	Market Cap \$9.00B
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FRVO: Geothermal Bounce as AI Power Demand Story Reignites

WHAT HAPPENED

- FRVO popped 5% on tiny volume (446K vs 5M+ recent days) — that's a bounce off the 52-week low zone (\$27.80), not real institutional buying. The stock had been beaten down 4 straight sessions, so this looks like short-covering plus dip-buyers nibbling near the bottom of the range.
- The bigger backdrop: Bloomberg is running "AI's energy crunch" stories and the Nvidia/PNNL geothermal digital twin partnership from last week keeps FRVO on the "AI power play" watchlist — that narrative isn't dead, it just took a breather.

WHY IT MATTERS

Here's what to read into this: FRVO is trading at 18% of its 52-week range, meaning it's basically at the bottom despite the underlying thesis (AI needs 24/7 clean power, geothermal delivers that) getting stronger, not weaker. The disconnect tells me the market is punishing them for the earnings miss and cash burn, not the business model — which is a classic setup where sentiment overshoots fundamentals. The Utah project hitting its initial 33 MW milestone is the near-term catalyst that could flip the narrative, because once they prove commercial-scale execution, hyperscaler power purchase agreements (basically Google/Microsoft signing long contracts to buy their electricity) become much more likely. Watch for: any announcement of a data center PPA — that's the "everything changes" moment for this stock.

POLICY & POLITICAL WATCH

The key policy tailwind is the Inflation Reduction Act's clean energy tax credits (specifically 45U production credits and 48E investment credits) — geothermal qualifies and Fervo is a direct beneficiary. The risk to watch: the current administration has been chipping away at IRA provisions, and any budget reconciliation move that narrows credit eligibility hits FRVO's project economics directly. On the flip side, geothermal has rare bipartisan support because it's "firm" power (runs 24/7 unlike solar/wind), and Republicans generally like it — so there's a floor of political protection here that pure-play solar names don't have.

IS IT EXPENSIVE?

At a \$9B market cap on ~\$285M expected 2026 revenue, investors are paying about \$32 for every \$1 of current revenue — that's expensive by any traditional measure, but this is being priced as an option on geothermal becoming the AI power backbone, not as a current cash-flow business. Compared to other pre-profit energy tech names, it's actually reasonable if you believe the 2027-2028 project pipeline delivers. The stock is cheap relative to its own recent range (\$42 high) but not cheap relative to fundamentals — you're buying the story, not the numbers.

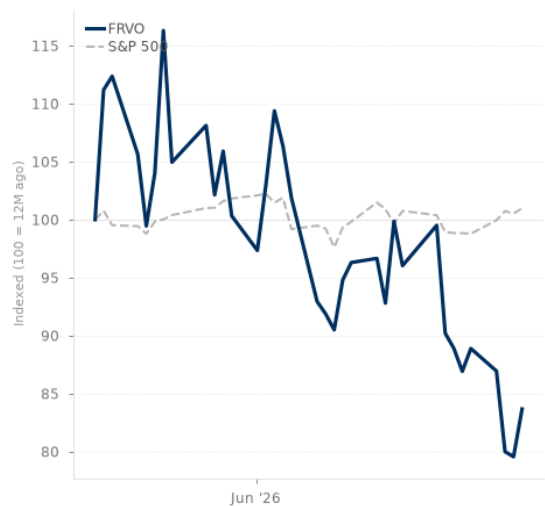
Key Data

Price (USD)	\$30.53
12M Price Target	\$42.00
Upside / (Downside)	+37.6%
Market Cap	\$9.00B
FY2026E Revenue	\$285M
FY2027E Revenue	\$520M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$35.00	\$32.00	\$27.00
6 Months	\$42.00	\$36.00	\$25.00
1 Year	\$55.00	\$42.00	\$22.00
2 Years	\$75.00	\$50.00	\$18.00
5 Years	\$130.00	\$80.00	\$15.00
10 Years	\$250.00	\$140.00	\$10.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+4.4% 5D) and Financials (+3.4% 5D) are leading — that's a "risk-on but defensive" rotation, not the AI/energy trade FRVO needs.

COOLING OFF: Energy (-1.2% 5D) and Utilities (-1.5% 5D) are both soft — that's a headwind for FRVO because it sits at the intersection of both.

ROTATION WATCH: Money is rotating away from the "AI power" theme this week as megacap tech wobbles — but the OpenAI/Anthropic IPO chatter suggests the AI capex cycle is still very much alive, which eventually pulls power names back up.

RELATED PLAY: If you like the geothermal/AI power thesis but want less single-name risk, look at nuclear SMR names (NNE, OKLO) or grid infrastructure plays (GEV, ETN) — same tailwind, different flavor.

WHO'S WINNING IN THIS SPACE?

- VST (Vistra): Power producer with nuclear + gas exposure, winning as the "sell picks and shovels to AI" trade.
- GEV (GE Vernova): Grid and turbine backbone for the entire power buildout.

FRVO CONTEXT: FRVO is significantly lagging the AI-power peer group — VST and GEV are near highs while FRVO sits near lows. That's either a huge opportunity (mean reversion coming) or a warning that the market sees geothermal as behind nuclear/gas in the pecking order. I lean toward opportunity, but you need patience.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the thesis a lot but the cash burn and execution risk keep me from pounding the table.

POSITION SIZE: 2-4% of portfolio — high-conviction speculative, not a core holding. The volatility means you don't want to be over-exposed on a bad day.

ENTRY POINTS: \$28-30 is the accumulation zone; add aggressively only below \$28 or on confirmed Utah milestone news.

TIME HORIZON: 18-36 months — you're waiting for the Utah project to prove out and the first big hyperscaler PPA to land.

WHEN TO BAIL: Utah project slips past mid-2027, IRA credits get gutted in reconciliation, or a dilutive capital raise at prices below \$25 — any of those, I'm cutting.

HEDGING: Own a natural gas power name alongside it (VST or similar) — if geothermal disappoints as the AI power solution, gas wins, and you're covered either way.